EXECUTIVE SUMMARY

1. Introduction:

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned.

The town is currently headed by Hon. Leonardo C. Pattung who is on his third consecutive term as the Local Chief Executive. The municipal government's primary concern is to deliver basic services to its constituents, generate income for the Municipality through collection of local taxes and provide its officials and employees timely payment of salaries and benefits.

Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality for the year 2015. The audit consisted of review of operating procedures, inspection of projects on selected basis, interview of and meeting with concerned local government officials and employees. Verification, reconciliation and analysis of accounts, and such other auditing procedures considered necessary under the circumstances.

2. Financial Highlights:

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2015, with comparative figures for CY 2013, are as follows:

Particulars	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	₱ 448,366,040.10	385,962,298.30	₱ 62,403,741.80
Total Liabilities	₱ 107,754,414.17	117,458,787.42	₱ (9,704,373.25)
Total Government Equity	₱ 340,611,625.93	268,503,510.88	₱ 72,108,115.05
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱ 238,594,058.70	209,197,974.42	₱ 29,396,084.28

Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations)	₱ 171,357,386.79	173,316,053.90	₱ (1,958,667.11)
Appropriations, Allotments and Obligations			
Appropriations - Current	₱ 253,390,392.83	233,295,888.66	₱ 20,094,504.17
Appropriations - Continuing	₱ 67,691,475.84	51,629,115.81	₱ 16,062,360.03
Allotments - Current	₱ 248,116,825.25	230,165,429.66	₱ 17,951,395.59
Allotments - Continuing	₱ 64,561,016.84	51,629,115.81	₱ 12,931,901.03
Obligations - Current	₱ 169,898,163.71	169,081,534.22	₱ 816,629.49
Obligations - Continuing	₱ 32,485,586.88	33,254,960.94	₱ (769,374.06)
Funds Received from Other Agencies:			
NGAs	₱ 22,169,650.87	19,928,668.64	₱ 2,240,982.23
LGUs	₱ 1,000,000.00	1,348,391.16	(348,391.16)
NGO/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	₱ 23,169,650.87	21,277,059.80	₱ 1,892,591.07
Funds Transferred to Other Agencies			
NGAs	₱ 0.00	0.00	₱ 0.00
LGUs	₱ 0.00	1,871,158.00	₱ (1,871,158.00)
NGO/Pos	0.00	0.00	₱ 0.00
Others	0.00	0.00	₱ 0.00
Total	₱ 0.00	1,871,158.00	₱ 1,871,158.00

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of LGU-Baggao, Cagayan as of December 31, 2015 due to the effects the on the existence and correctness of the balance of Property Plant and Equipment (PPE) with a carrying a book value of ₱324,045,650.48 which could not be ascertained due to the non-conduct of physical count and submission on the Report of Physical Count on Property, Plant and Equipment. Existence of unrestituted cash shortage of ₱965,515.37 which remained outstanding for 14 years.

4. Summary of Significant Observations and Recommendations

a. Ten parcel of untitled land/lots with a market value of P212,691.43 remained untitled because management did not prioritize and facilitate the processing of documents needed in the titling of the lands.

We recommended that management prioritize and facilitate the processing of documents in order to complete the requirements for the titling. They should coordinate with the concerned government agencies to facilitate titling of the lot, so that the ownership thereto could be properly secured and to avoid future litigations of third party against the municipality. Exert effort to retrieve the documents for its titling**.**

b. School Building and Day Care Center with a total value of ₱13,741,284.24 and ₱2,693,826.85, respectively, were not yet transferred to the recipient schools/barangays due to the lack of coordination between the accounting and property offices as to the required documentation needed for the transfer of said properties.

We recommended that management transfer the ownership of the school building and day care center to recipient school/barangay in order to establish property accountability. The transfer should be covered by a Sangguniang Bayan Resolution as well as Deed of Donation.

c. Several livelihood and entrepreneurship loan which were granted to private individuals amounting ₱2,093,525.00 remained uncollected for a long period of time due to laxity of management to enforce strict collection thereof

We reiterated our previous recommendation that management send demand letters to all loan borrowers, and/or refer to legal office for the necessary action to enforce collection thereof. If collection is nil, management should request for write off to COA in accordance with existing regulations.

d. The Municipal Treasurer did not to submit to the Auditor the Monthly Reports of Accountability for Accountable Forms of Accountable Officers (RAAF) within the relementary period in violation of Section 50 and 51 of NGAS Manual, Volume II and Section 54 of P.D. 1445.

We recommended that the management require the Municipal Treasurer to strictly adhere of Section 51 of NGAS Manual, Volume II and Section 64 of P.D. 1445 on the submission of CRAAF to the Auditor not later than the 5th day of the ensuing month.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

Disallowances					
Prior Years	₱0.00	₱0.00	₱0.00	₱0.00	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱0.00	₱0.00	₱0.00	₱0.00	₱0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Of the 16 audit recommendations embodied in previous annual audit reports, eight were fully implemented, two were partially implemented and 6 were not implemented.